



Individual Presentation

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FCRC Fall 2024, Team Babylon
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Tender Offer and Shareholder Rights

1. Introduction to Tender Offers
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3. Shareholder Rights

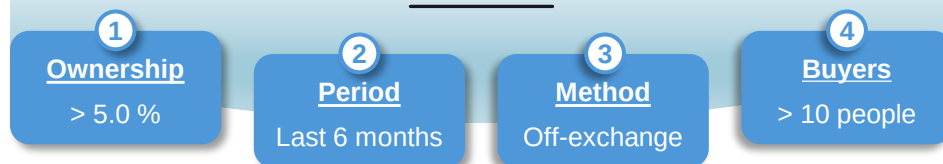
Introduction to Tender Offers

A tender offer is a public bid by an investor to purchase shares from shareholders of a company, typically at a premium price, in an attempt to gain control or a significant stake

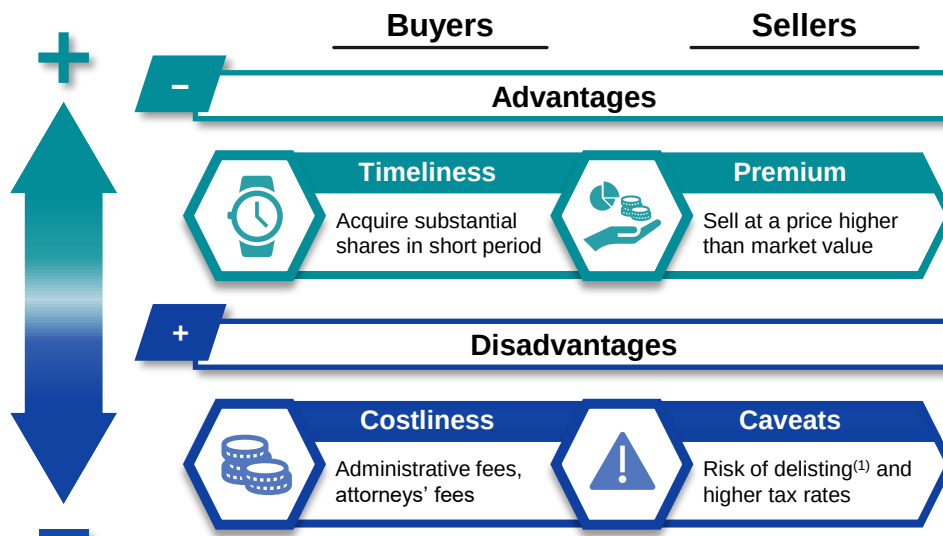
Key concept

- A **tender offer** (or takeover bid) refers to a method in which a prospective buyer of a stock **publicly presents the purchase period, price, quantity, etc. and purchases shares of a listed company to increase its stake**

Criteria



Trade-off dynamics



Korean regulations

01 Additional purchases	Prohibition of obtaining shares through other means during the tender offer period
02 Share issuance	Restriction of issuance of new share with voting rights in case of an ongoing tender offer
03 Bound conditions	Prohibition of reduction in the purchase price, number of shares to be purchased, and public tender period

Mandatory takeover bid rule

In Dec 2022, the FSC reimplemented the mandatory takeover bid rule, which was abolished in Feb 1998 due to M&A impediment concerns

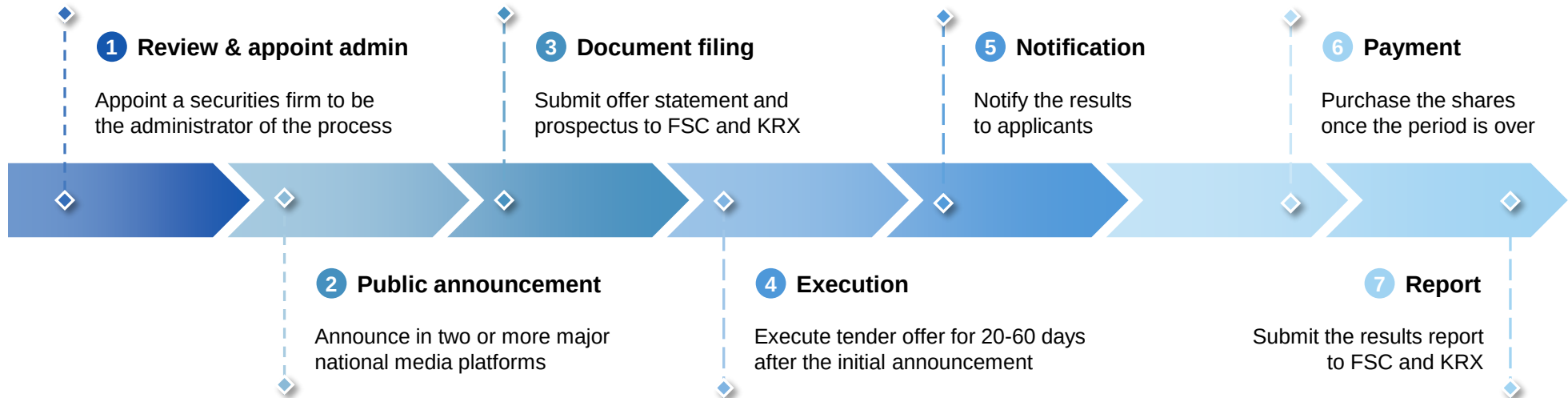
The policy **mandates a tender offer** for remaining shares if a party gains control with a sufficient stake in the target company

Conditions	If a party becomes the largest shareholder by holding 25% or more of a listed company's shares
Offer Price	Same to general shareholders (identical offer premium)
Required %	50% + 1 share of the total outstanding shares

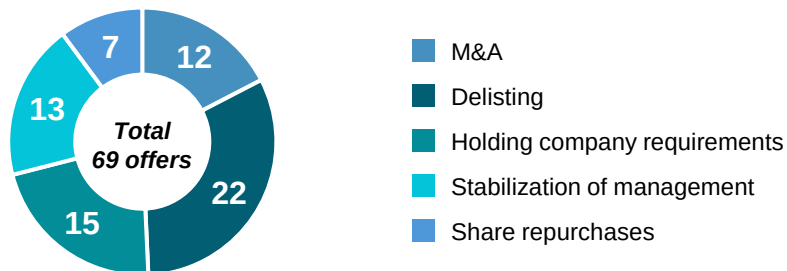
Introduction to Tender Offers (Cont'd)

The tender offer involves a comprehensive process which ensures that the rights of individual investors are protected, and often leads to a subsequent delisting from public trading

Procedural timeline (process)

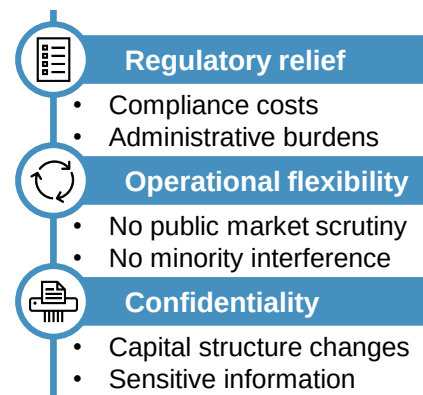


Purposes of tender offers⁽¹⁾



✓ While delisting accounts for most cases, M&A and holding company requirements drive the largest offer volumes due to higher stake needs.

Delisting



✓ Shareholders with over 5.0% of shares can prevent the delisting

✓ Thus, if the largest shareholder and related parties hold 95.0% or more of the shares, voluntary delisting is possible

✓ Conducted to transition ownership or seek overseas listing

Recent Korean Tender Offers

According to the Financial Supervisory Services' DART, there has been a total of 15 tender offers in Korea as of September in 2024, 19 including the ongoing offers related to the Korea Zinc dispute

Tender offers in Korea (2024YTD)⁽¹⁾

Initial filing date	Offeror	Target company	% Stake pre-offer	Target % of offer	Actual % purchased	Subscription rate ⁽²⁾	% Stake after offer	Premium to ending price ⁽³⁾	Premium to 1-month VWAP
02.05.24	 Hahn & Company 쌍용C&E	 쌍용C&E	79.9%	20.1%	13.1%	65.4%	93.0%	9.2%	18.7%
04.03.24	 HYUNDAI G.F. HOLDINGS	 현대홈쇼핑 HYUNDAI HOME SHOPPING	40.8%	25.0%	16.5%	66.2%	57.4%	20.0%	28.1%
04.18.24	Consumer Advantage Ltd.	LocknLock	69.6%	30.3%	15.8%	52.1%	85.5%	7.0%	22.7%
04.29.24	 MBK PARTNERS	Connect Wave	59.6%	38.9%	17.3%	44.5%	76.9%	15.6%	25.8%
06.10.24	 ARCHIMED IMPACTING HEALTHCARE	Jeisys	26.7%	23.3-73.0%	55.4%	N/A	82.1%	20.8%	13.4%
07.05.24	 Hanwha Energy	 Hanwha	43.6%	8.0%	5.2%	65.0%	48.8%	7.7%	12.9%
08.12.24	 SKYLAKE Leading Technology Investments	 Your Business is ON BusinessOn	70.7%	28.9%	24.8%	85.6%	95.4%	8.0%	17.9%

Source: DART

Note: (1) Tender offers with size over KRW 100bn; (2) Calculated by target % / actual % purchased ; (3) Of the business day preceding the initial filing date

Shareholder Rights

Different shareholding proportions confer varying rights, including voting power, dividend entitlements, and decision-making influence within a company

Impact of shareholding proportions on shareholder rights

Stake	Notes	Resolutions
> 1.0%	Protect the interests as minority shareholders - Request to stop the director's misconduct - Claim for a shareholder representative lawsuit	1 Ordinary resolutions ✓ Appointment of Directors ✓ Determination of Compensation ✓ Profit Distribution ✓ Approval of Financial Statements
> 3.0%	Monitor the abuse of authority of controlling shareholders - Misconduct monitoring, inspection of accounting books⁽¹⁾ - Convene an extraordinary general meeting of shareholders	
> 25.0%	Pass ordinary resolutions upon attending the meeting alone (1) A majority of the voting rights held by attending shareholders (2) At least 25% of the total issued shares are in favor	
33.4% - 50.0%	Pass special resolutions upon attending the meeting alone (1) Two-thirds of the voting rights held by attending shareholders (2) At least 33.4% ($\frac{1}{3}$) of the total issued shares are in favor	
50.0%+1 - 66.7%	Pass ordinary resolutions by vote even if all shareholders attend - Securing 50% + 1 share ensures stable control over management - Thus, companies typically trade 50% + 1 share in M&As	2 Special resolutions ✓ Amendment of articles of incorporation ✓ Transfer of business ✓ Mergers/divestitures ✓ Dismissal of directors and auditors
> 66.7%	Pass special resolutions by vote even if all shareholders attend Signifies the ability to manage various critical matters of the company with stability	
100.0%	A company with a single shareholder (not a true partnership) Since there are no other shareholders, the convocation process or resolution process of the general shareholders' meeting is relaxed	

Source: KLCA (Korea listed companies association)

Note: (1) As for listed companies, a 0.1% stake grants access to the company's accounting books due to the large number of shareholders

Asset Overview

1. Company Overview
2. Business Overview
3. Stock Price Evolution

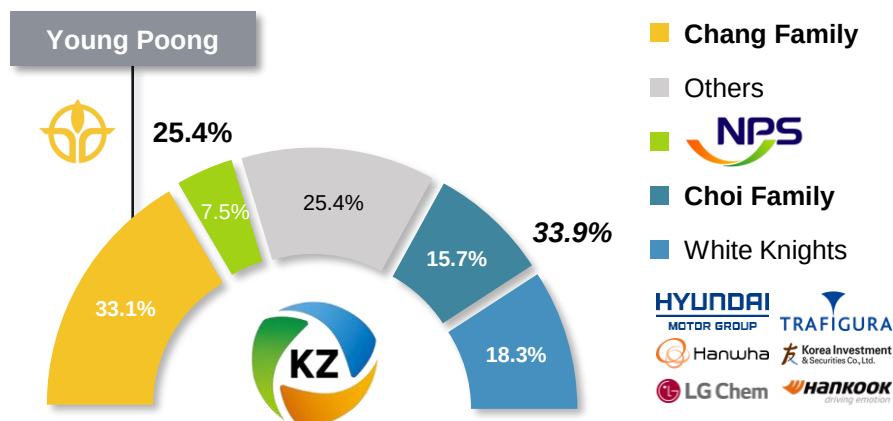
Company Overview

Korea Zinc is a leading non-ferrous metal smelting company which has grown to become one of the world's largest producers of refined zinc, with an annual production capacity of 650,000MT

Company Profile

- Korea Zinc was founded on August 1, 1974, as a comprehensive non-ferrous metal smelting company and conducted its IPO on July 28, 1990
- The company primarily engages in the production and sale of lead and zinc – an essential material for plating or alloying iron to prevent rust
- The majority of lead demand is for battery manufacturing, with other uses including litharge, wire sheathing, soldering, radiation shielding, pigments, waterproofing, soundproofing, bullets, etc.
- Korea Zinc is expanding into renewable energy and green hydrogen as part of its future growth strategy
- The company is also investing in nickel production, with plans to become the largest non-Chinese producer of nickel sulphate, a key component in electric vehicle batteries

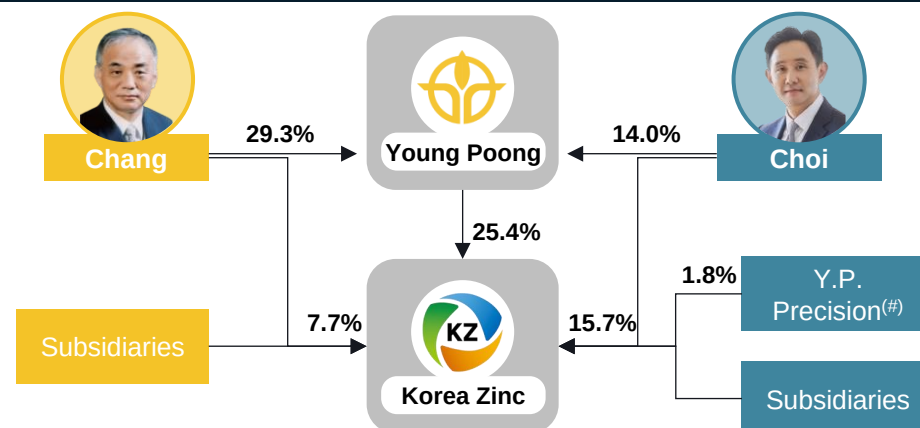
Shareholding Structure⁽¹⁾



Key Financials

(KRWbn)	FY20	FY21	FY22	FY23	LTM1H24
Revenue	7,582	9,977	11,219	9,705	10,141
% Growth	-	31.6%	12.5%	(13.5%)	4.5%
EBIT	897	1,096	919	660	812
EBITDA	1,116	1,333	1,225	976	996
% Margin	14.7%	13.4%	10.9%	10.1%	6.0%
Net Income	575	811	798	533	559
% Margin	7.6%	8.1%	7.1%	5.5%	5.5%
Total Assets	8,500	9,964	12,098	12,046	13,321
Total Equity	7,087	7,734	9,232	9,642	9,759
Net Debt	590	220	(69)	34	(129)

Ownership structure⁽²⁾



Business Overview

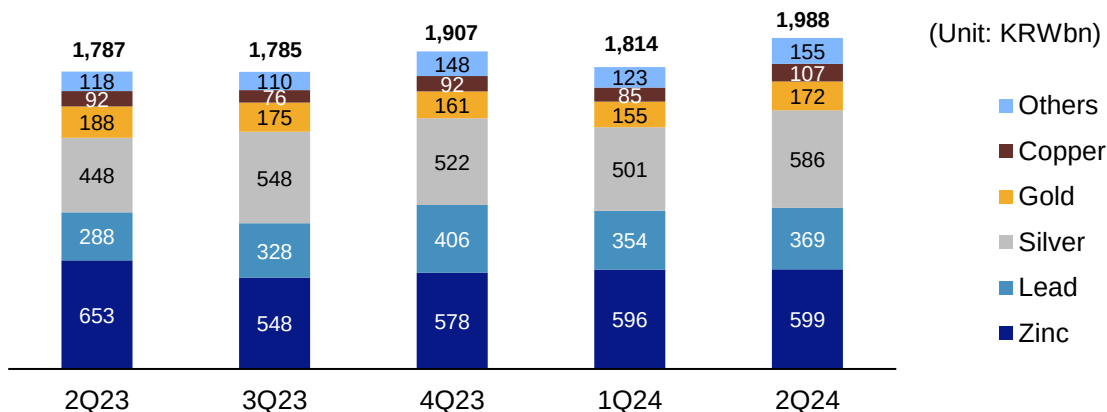
Korea Zinc attracts demand for industrial materials, jewelry, and investment through its arsenal of precious metals including gold, silver, and copper, whilst simultaneously entering its renewable growth phase

Production portfolio⁽¹⁾



✓ Expected to save KRW60.9bn in annual processing costs by shutting down two of the eight fumers in operation (SF1 and 2) and repurposing one (OF5)

Revenue breakdown⁽²⁾



Growth initiatives



Renewable energy and green hydrogen

- The company is implementing **solar and wind power projects**, developing **recycling initiatives**, and accelerating **green hydrogen production** and transportation through its subsidiaries in Australia



Resource recycling

- STEELCYCLE Corporation (subsidiary) produces **zinc oxide** from **steelmaking waste** and supplies it to Korea Zinc
- Capitalizes on the growing IT demand and reduces environmental impact via **e-waste recycling**



Secondary battery material

- Entered the **rechargeable battery material business** through KZAM⁽³⁾
- Develops **battery recycling capabilities** and manufacturing precursors for cathode materials

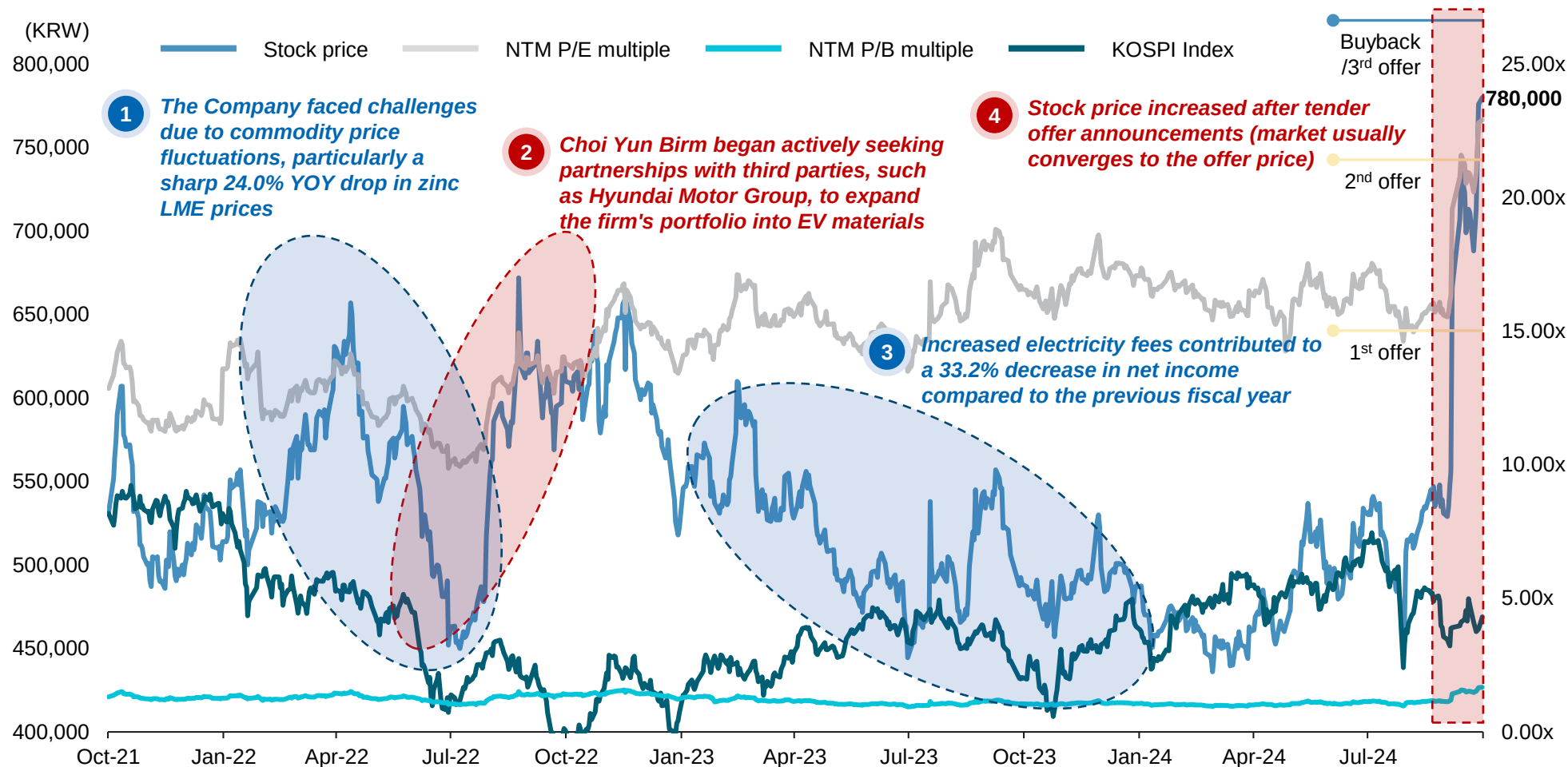
✓ Alongside its main operations, Korea Zinc has diversified its businesses and has committed to growth initiatives, known as the **Troika Drive**

✓ By 2033, Korea Zinc plans to curtail the proportion of revenue from smelting to 52.9% from 95.5%⁽⁴⁾

Stock Price Evolution

Korea Zinc's stock price has shown fluctuations over the past three years, reflecting changes in market conditions and the company's financial performance

Korea Zinc's stock price history⁽¹⁾



Ownership Dispute

1. Situation Overview
2. Tender Offer Structure
3. Downside Protection Mechanisms

Situation Overview

The 75 year-lasting partnership between two founding families of Korea Zinc has unraveled into a bitter power struggle, reshaping the future of the world's largest zinc refiner

Chang Family



- '23 Maintenance of Chang family's larger-than-Choi-family stake in Korea Zinc
- '24 Seokpo smelter struck due to KZ's⁽¹⁾ withdrawal of sulfuric acid handling
- '24 Announcement of tender offer with MBK partners to seize management rights
- '24 MBK-aided tender offer for Young Poong precision's shares⁽²⁾

Korea Zinc



- '49 Cofounding of Young Poong by Chang Byung-hee and Choi Ki-ho
- '74 Cofounding of Korea Zinc; Choi family's management of Korea Zinc
- '24 Voting clash regarding dividends at the shareholders' meeting
- '24 Opposition expressed from Ulsan City and employees over hostile M&A

Choi Family



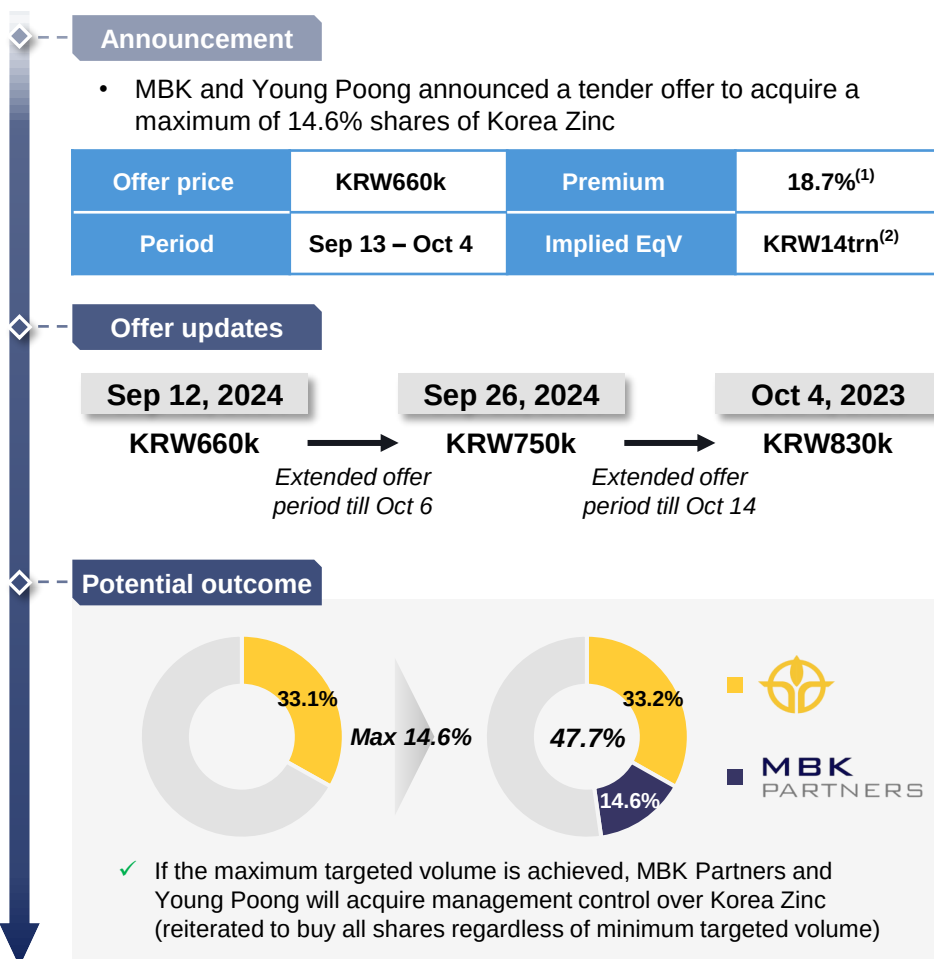
- '22 Appointment of Choi Yoon Birm as CEO; Launch of Troika Drive
- '23 Paid-in capital increase and securing of friendly shares
- '24 Announcement of tender offer for Young Poong Precision at KRW30k
- '24 Counteroffer with Bain Capital to protect management rights

Family feud erupts into high-stakes battle for control of global zinc giant

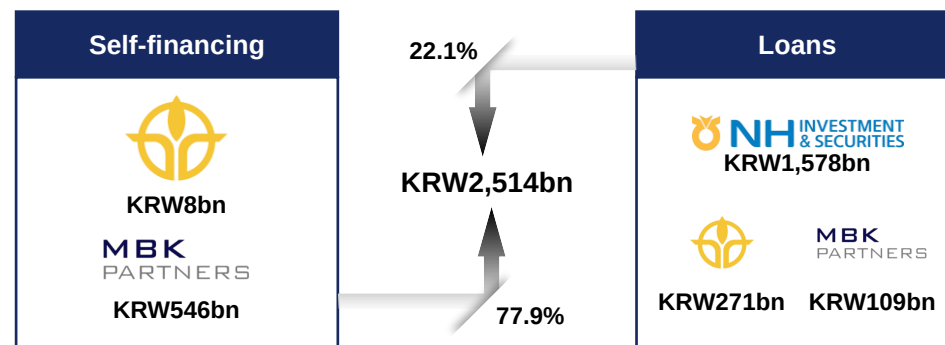
Tender Offer Structure (Chang Family + MBK Partners)

The primary target of MBK Partners' buyout fund VI is Korea Zinc, with a tender offer structure aimed at securing a controlling interest including two strategic price increases

Tender offer timeline



Transaction structure



Ownership implications

Management rights and appointment of directors

- The agreement includes a call option for MBK to acquire 50.0% + 1 share of Young Poong's stake in Korea Zinc
- MBK Partners will nominate one more director than Young Poong and will also designate the Chief Executive Officer (CEO) and Chief Financial Officer (CFO).

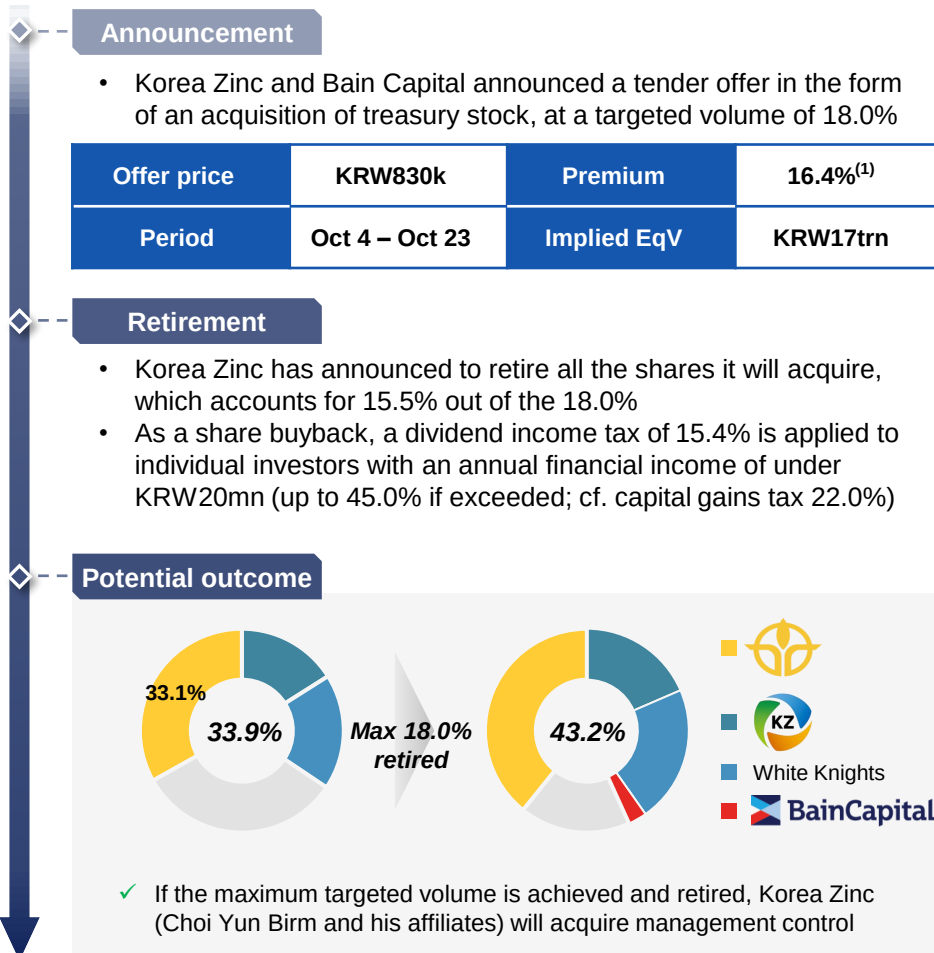
Restriction on sale of shares

- ✓ Young Poong cannot dispose of its shares to a third party for 10 years from the date of signing the management cooperation agreement
- ✓ After 10 years, MBK is granted the right of first refusal.

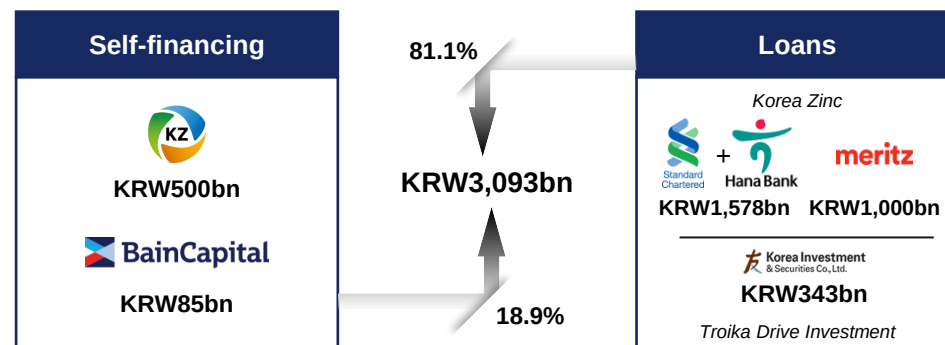
Tender Offer Structure (Choi Family + Bain Capital)

The offer structure ultimately includes a share retirement, which will bring controlling rights to the party if white knights are cooperative throughout the process

Tender offer timeline



Transaction structure



Ownership implications

Investment purpose

- Unlike MBK Partners, Bain Capital positions as a credit fund rather than a buyout investor for Korea Zinc
- If the shares decreases to 17,494,274 shares (from 20,703,283), Bain Capital's stake will increase to 2.96%

Security interest

First priority security interest over:

- ✓ all shares of the target company that the tender offeror will own as a result of the tender offer
- ✓ a portion of the shares of the target company owned by the existing shareholders (1.4%)

Downside Protection Mechanisms

Despite the high cost of equity, private equity firms can reap fruitful investment returns in a public company with inflated stock prices through articulate contracts and loss protection mechanisms

Downside protection mechanisms for MBK Partners

Investor profile

MBK PARTNERS

- MBK Partners' tender offeror is its SPC, Korea Corporate Investment Holdings Co., Ltd.
- MBK's BO fund VI reached USD3.5bn; USD7bn target

Drag-along right

Young Poong holds a tag-along right if MBK partners does not exercise its drag-along right

First refusal

MBK can exercise the right of first refusal regarding the disposal of shares by Young Poong

Investment rationale

1 Gain full management rights with a 14.6% stake

- MBK Partners holds various advantageous options, including the rights to a 50% + 1 share Young Poong holds, and a restriction on sale of shares
- This enables MBK Partners to later sell its shares with a control premium

2 Hedge offer price increase through fixed call option

- Though no official disclosure, MBK Partners announced that a fixed call option exercise price proportional to the control premium is agreed-upon
- However, MBK can potentially transfer the offer price burden to Young Poong by decreasing the exercise price accordingly

KRW750k → option: KRW620k

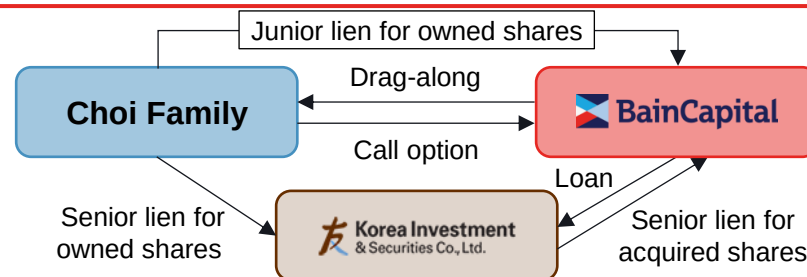
KRW830k → option: KRW585k

Downside protection mechanisms for Bain Capital

Investor profile

BainCapital

- As an FI, Bain Capital is uninterested in management rights and is taking up to 2.5% stake in Korea Zinc
- The SPC is Troika Drive Investment, L.P.



✓ The acquired shares, along with a proportion of Choi's shares, are subject to disposal as collateral if Korea Zinc fails to repay its loans

Exit strategies

- The embedded drag-along right provides a smooth exit for Bain capital regarding its future holdings

Drag-along right

- ✓ If Bain Capital decides to sell its shares, it can demand Korea Zinc to sell 'all' of its shares together
- ✓ Bain Capital can sell the entire management control with a premium through the drag-along right, potentially improving the investment returns
- ✓ If Korea Zinc doesn't exercise the call option, Bain Capital can seek alternative investors that are interested in synergies with Korea Zinc,



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